

Breakeven Margin

Every organisation has certain expenses, like selling, administration and other miscellaneous expenses that it has to bear even if there are no sales. The breakeven margin indicates the number of units that a company must sell to meet these expenses. If a company's breakeven is at 50% of its capacity, it means that the company would be in a no-profit-no-loss position if it produced and sold half its capacity. Any unit sold above this would yield a profit, and *vice versa*.

The breakeven margin ratio is arrived at by dividing expenses including financing costs, by the gross income per unit. Nonrecurring or unusual profits must be excluded from the calculation.

$$\text{Breakeven margin} = \frac{\text{Expenses + financing costs}}{\text{Gross income / Number of units sold}}$$

Illustration

The results of Kumar Wheels Ltd. during the latest year ended 31 March were as follows:

		Rs. (lakh)
Sales		8000
Less:	Costs of sales	6000
	Gross Income	2000
Less:	Expenses	1200
	Operating income	800
Add:	Profit on sale of factory	50
	Earning before interest and tax	850
Less:	Interest charges	150
	Earnings before tax	700

The total number of units sold were 1000

$$\text{Breakeven margin} = \frac{1200 + 150}{2000 / 1000} = 675 \text{ units}$$

Kumar Wheels Ltd. have to sell, at present costs, 675 units to bear its expenses. If it sells 676 units it would make a profit of Rs. 2. The company would lose Rs. 2 should it sell only 674 units.